

Do I need cover? My office covers me

Yes, you do. I always recommend buying your own policy even if you are covered by your office, especially if you are in your forties. A double insurance cover from the offices of two working spouses when you are in your thirties does look enough. That's what techies Anmol and Richa Das thought – together they had over fifteen lakh rupees' worth of medical cover from their offices.

But then things change overnight. They had a baby; Richa left work to bring up her baby; and when cute baby Vinayak was just one, Anmol gets laid off from his software firm. Luckily the story has a good ending with no major illness during the unemployment period.

The need for personal cover comes and stands in front of you when suddenly you are faced with a change in circumstances. The other time you see reality biting is at retirement. Along with the farewell party, you bid farewell to your medical cover from work. Getting a cover at age sixty is difficult. Lifestyle diseases like hypertension and diabetes may have set in, reducing the choice set of available medical plans.

Companies are reluctant to cover older people, and for older people with a 'pre-existing' disease, the reluctance is even stronger. Also, most insurance companies will not cover your 'pre-existing' diseases and medical costs related to a pre-existing disease for a maximum of four years.

Suppose you have kidney stones when you take the cover and six months after the cover you go in for a surgery to remove the stones, your medical policy will not cover the costs of this surgery.

Of course, if you are covered by the government or any other agency, even post retirement, like army and government officials are, you don't need medical cover.

How much do I need?

A private equity investor who invests in the hospital business I spoke to sometime back had interesting insights on hospitals in the north and south of